

Microsoft Company Analysis

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Executive Summary

This analysis evaluates Microsoft by analyzing their external and internal factors, then identifying their strategy and providing recommendations. The general assessment of the environment revealed, Microsoft offers a wide range of products that cater to the needs of different audiences. While most companies struggled during COVID Microsoft thrived which began global growth for the firm. The stakeholder analysis exemplifies how much pressure is on Microsoft to perform. Numerous stakeholders depend on Microsoft with their lives and finances and need the company to reach annual goals. Porter Five Forces ranks Microsoft against the industry's competitive forces. This reveals Microsoft's stable position and power in the industry. The financial analysis conveys and compares their annual reports to Google and Apple. Microsoft stands in the middle between the top two competitors and holds financial flexibility. This enables them to invest in new technology and reach larger customer segments. The VRIO analysis analyzes Microsoft's top three resources, research and development capabilities, a wide distribution network, and a strong financial performance (Marketline, 2025), to understand their competitive edge. Their wide distribution network proved to be their most desired resource. The value chain analysis illustrates how Microsoft creates value for their customers. From primary activities to supporting activities, each process is aligned with their mission. Microsoft's strategy centers around differentiation. Leveraging their AI capabilities and merging with ChatGPT will establish them as global leaders in the AI industry.

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Introduction

From Windows computers and Xbox to Office 365, everyone has used or heard of Microsoft. They are among the industry leaders in technology and continue to amplify growth by always advancing to the next big innovation. Microsoft operates globally in 190 different countries and currently employs 228,000 workers (Microsoft 2025). With access to many resources, they are able to offer various products that help all demographics. Targeted towards companies and universities, Microsoft offers Office 365, Azure, and LinkedIn. Each of these applications aims to provide users with collaboration and promote productivity. They sell the Xbox and gaming services for younger audiences and the Windows computers for all ages. Their goal is to provide the best quality product that features applications exclusively sold by Microsoft.

Their most recent product success is Copilot, a generative AI that supports workflows and tasks. Copilot keeps them competitive with their two biggest competitors, Google and Apple. Google released their version of AI called Gemini and Apple is embedding Apple Intelligence into all new devices. In this new era of AI if companies do not adapt they will fall behind. Each firm is researching the best ways to leverage this new technology and how to create value for their customers.

Microsoft is met with many competitive industry forces. Technology is always changing and adapting so this creates room for new companies or products. This puts stress on Microsoft to perform because numerous stakeholders are depending on them. Microsoft has reported impressive profit margins over the past five years even during the pandemic in 2020. Looking at their top three resources indicates whether or not they can sustain a competitive edge. This will

dictate how and where recommendations could be made. Microsoft engages in a differentiation strategy by pursuing value as their top priority. Differentiation strategy works for them because they are able to maintain existing products and develop new ideas into beneficial offerings

External Analysis

General Assessment of Environment

Microsoft is confronted with external forces outside of the firm's control that they must strategically plan for to ensure operations remain steady while faced with challenges. These obstacles include, economic, sociocultural, technological, environmental, and political.

Political factors: are beginning to affect tech companies by enforcing laws and regulations on AI usage. With lots of uncertainty surrounding AI, governments want to step in to ensure transparency and people are protected. Microsoft needs to adapt to the new regulations to stay relevant among many rising competitors.

Economic factors: influence interest rates which can affect Microsoft in positive or negative ways. Since a large portion of their business model is centered around subscriptions, when interest rates are high it makes the value of those future dollars worth less.

Sociocultural factors: dictate how different demographics will react to Microsoft based on their values and lifestyles. During COVID companies were forced to change their workflows and employee collaboration to fully online functioning. On October 28th 2020, Jared Spataro, Chief of Marketing at Microsoft announced Teams reached 115 million daily active users (Microsoft 2020) this conveyed companies reliance on Teams for hybrid work. Pew Research Center found that 63% of workers prefer to work remotely or hybrid (Pew Research Center 2025), this indicates how individuals value to work from home after their lifestyle change from the pandemic.

Technological factors: are changing fast with AI. Microsoft has been able to maintain a competitive edge with Copilot which is their version of generative AI.

Environmental Factors: are affected by technological adoptions because companies need spaces to build big data centers to run their AI platforms. This requires scarce resources like energy and water which raises concerns about sustainability efforts.

Legal Factors: with AI on the rise many consumers are becoming concerned about data privacy. This is something Microsoft must consider as they evolve Copilot.

Stakeholder Analysis

Since Microsoft is a global company they have numerous stakeholders who depend on the success and growth of the firm. This involves the shareholders, employees, customers, suppliers, and government. Each group wants Microsoft to achieve their performance goals for their own professional or financial endeavors.

Shareholders: Their three major institutional investors are Vanguard, Blackrock, and State Street. Together these investors own 21% (Investopedia 2024), of the company giving them power to vote on decisions and influence strategy. There are also many individuals who invest in MSFT which is their publicly traded stock. The investors want to see growth to make their investments worthwhile.

Employees: This includes all of Microsoft's workforce, approximately 228,000 employees (Marketline 2025). These individuals ensure operations run smoothly while product development expands. Employees desire job security, fair wages with benefits, and opportunities to develop further in their careers.

Customers: Microsoft has a wide consumer base because of their variety of product offerings. Their largest customers include businesses, schools, universities, and the government.

Their customers rely on Office 365 to complete daily tasks and need everything to operate seamlessly while upholding security precautions.

Suppliers: With various products on the market, they need many suppliers to provide different resources. This includes AI chips, data center equipment, processors, and contractors to handle operations. All suppliers must abide to their environmental standards, “this means demonstrating credible progress on environmental, social, and governance (ESG) factors, from emissions tracking to ethical labor practices” (Greenplaces 2025). Microsoft needs to provide these suppliers with long-term contracts to ensure stability and future partnership opportunities.

Government: This includes the government officials who set rules and regulations for Microsoft. They need the firm to be compliant with any new laws surrounding technology and adapt in these uncertain times with AI.

Porter’s Five Forces

The five leading forces in an industry reveal where and how a company can compete against others. Looking at rivalry among competitors, threat of new entrants, bargaining power of suppliers, bargaining power of buyers, and threat of substitutes will determine Microsoft's positioning.

Rivalry Among Competitors, High: With AI technology on the rise, competitors like Google and Apple are quickly embedding this new technology into all of their products and services. Both competitors have the funds and resources to adapt and compete with others in the industry.

Threat of New Entrants, Low: The technology industry requires expensive financial investments with individuals that have expertise in evolving software. There are strict security laws and regulations that make it difficult for startups.

Bargaining Power of Suppliers, High: Right now Nvidia, a company who builds hardware and software to fuel AI dominates the industry. Dylan Solan from Fortune reports, “Nvidia controls more than 90% of the AI chips market, and demand for its industry-leading semiconductors is only increasing” (Fortune 2024). In order to stay competitive Microsoft must pay whatever prices Nvidia charges because they currently hold the power.

Bargaining Power of Buyers, Medium: When large firms purchase products or services from companies in tech, they can sometimes negotiate deals because they have more resources. Once firms begin working with Microsoft, they usually don’t leave since transferring data and retraining employees on new applications is time consuming.

Threat of Substitutes, Medium: There are substitutes that could potentially replace segments of Microsoft's products but to entirely replace Office 365 would be difficult. Technology substitutes requires knowledge, skills, resources, and most importantly time. Which makes it demanding on companies releasing new products because these large firms are already on to their next innovation by the time you catch up.

Internal Analysis

Financial Analysis

Looking at Microsoft's net profit margin, current ratio, and debt to equity ratio compared to Apple and Google’s metrics from the past five years, will expose their financial position in the industry.

Net Profit Margin: Starting back in 2021, Microsoft reported a 36.45% net profit margin while, Apple and Google disclosed their margins were at, 25.88% and 30.55% (Marketline 2025). Year over year Microsoft announced steady growth from 2022 to 2025, refer to Table 1 (Marketline 2025). Apple and Google experienced steady drops in profit margins but have

slightly increased from 2021. Looking at the data available from the past five years, Apple reported a total of 1.04% increase (Apple 2025) while Google details a larger increase of 1.69% over the past five years (Alphabet Inc, 2025). Seeing an increase for Microsoft, means their pricing models are functioning successfully.

Current Ratio: Over the past five years Microsoft has never dropped below a 1.0 current ratio, which indicates they have always been able to pay off their bills. In 2021, Microsoft held a 2.08 ratio (Marketline, 2025) while Apple reported 1.07 (Apple, 2021) and Google at the highest of 2.93 (Alphabet Inc, 2021). Throughout the years Microsoft was able to stay above a 1.0 ratio but continued to drop, refer to Table 2 (Marketline, 2025). Although there was a drop in 2024 and 2025, Microsoft is continuing to grow because they took risks to invest in AI. Since 2021, Apple has dropped under a 1.0 current ratio which is continuing to decrease. Their most recent report in 2025, conveyed a 0.89 current ratio (Apple, 2025). This gives Microsoft a lead against Apple but not Google. Google has maintained the strongest liquidity position over the past four years, refer to Table 2 (Alphabet Inc, 2025). This gives Google a larger financial buffer against Microsoft by preserving funds for unexpected challenges.

Debt to Equity Ratio: Microsoft holds a debt to equity stance in the middle of Apple and Google. Microsoft has continued to decrease their debt over the years, refer to Table 3 (Marketline, 2025). Apple stretches their debt far beyond the metrics reported for Microsoft and Google. In 2022, Apple disclosed a 2.39 debt to equity ratio (Apple 2022) which was their highest over the past five years. They have worked to bring this number down with a 1.34 ratio in 2025 (Apple 2025). Google holds the least amount of debt refer to Table 3 (Alphabet Inc, 2025). This creates competition for Microsoft because Google has more flexibility to invest without worries of debt.

VRIO Analysis

Since Microsoft operates at the global scale they have established resources that enable them to stay competitive and thrive in an industry that demands constant innovation. Their top three resources are research and development capabilities, a wide distribution network, and a strong culture (Marketline, 2025).

Research and Development Capabilities, Not a Sustained Competitive Advantage:

Microsoft has a huge team with top talent and a large budget that allows them to take creative ideas and turn it into a functioning product. This ability is valuable because they can easily create technology that keeps them ahead and builds brand differentiation. Without a resilient team, they would fall behind since technology is always changing. Having research and development is not rare. In Microsoft's 2025 annual report they said, "We plan to continue to make significant investments in a broad range of product research and development activities" (Microsoft 2025), this reveals they are continuing to grow the department but it doesn't change the rarity. This capability can be imitated because it only requires capital and funding. Their research and development team is very organized. They are dealing with various applications and devices so they need to have clear processes which they have established. Since this department is not rare and can be imitated, this is not a sustainable competitive advantage.

Wide Distribution Network, Sustained Competitive Advantage: Microsoft's distribution channels, "Original Equipment Manufacturers (OEMs), direct sales, and distributors and resellers" (Marketline 2025) enable their products to always surround consumers. This sales strategy keeps Microsoft directly embedded and constantly exposed to customers which is very valuable. This distribution approach is rare because not many companies can build a sales operation to the size Microsoft has built. Their distribution network is not easily inimitable since

it requires time to build relationships with the OEMs and is difficult to convince companies to embed your product in theirs. Microsoft is organized with this process because they have years of experience. Their first established partnership was in 1981, “The introduction of the IBM PC in 1981, running Microsoft's MS-DOS operating system, set a new standard for personal computing” (Microsoft 2024). Their distribution network is a sustained competitive advantage because all questions of the VRIO framework are accomplished.

Culture, Not a Sustained Competitive Advantage: Microsoft strives for innovation which fosters the culture of the company. The company creates opportunities for their employees to grow in their careers and convey new product ideas which is valuable. Not all companies invite employees to share ideas and grow within the firm. Microsoft's culture is not rare because many other competitors like Google and Apple have this type of culture. This innovative culture can be easily imitable if leaders and managers are willing to listen to their employees and customers. Their culture is organized and structured in a way that creative ideas can reach top management. Although Microsoft maintains a strong culture it is not a competitive advantage.

Value Chain Analysis

Microsoft follows a strategic value chain that helps produce functional products and services to their customers. This process starts with a supporting activity. Their team of researchers identifies a problem consumers experience that could be solved. Then they build and develop a product or service that meets the needs of their targeted audience. Microsoft mainly outsources the product pieces by using third-party contract manufacturers (Microsoft, 2025). This ensures they always have access to suppliers if one becomes unavailable.

One of the company's overarching goals is to help sustain the environment. Microsoft refuses to work with certain suppliers if they do not uphold their standards (The Business Model

Analyst, 2025). Their in house operations are more focused on ensuring all products are compliant with laws and regulations. Moving towards the final assembly, Microsoft is able to digitally deliver their web applications while physical products are distributed through stores or retail websites.

They push brand awareness by implementing a multi-channel strategy (The Business Model Analyst, 2025), this allows them to reach consumers and develop a list of leads. They position Office 365 and Azure in campaigns as, “security, productivity, and innovation” (The Business Model Analyst, 2025). Narrowing in on these aspects attracts businesses and students because those are the goals they are looking to accomplish. Microsoft's infrastructure allows their value chain to operate successfully.

Their management team works behind the scenes enabling all operations to flow properly. They concentrate on both financial planning and finding top human resources. Microsoft offers many training opportunities for their employees and career development programs. Investing in their employees generates continuous value to the company and improves retention.

Strategy Identification

Microsoft executes a differentiation strategy by creating products focused on value rather than selling lower quality items at a cheaper cost. They strive to distribute beneficial products and applications that impact customers forever. Microsoft employs their differentiation strategy by investing heavily into research and development through time and finance (Macrotrends 2025). This exemplifies their commitment to putting value and quality first for their customers. Microsoft engages a wide customer base and sells a variety of products. Each product is specifically targeted towards an audience and achieves their needs.

Microsoft does not sacrifice value even as their operations continue to scale larger. Xbox was created for younger boys who love to game while Office 365 was made for professionals and students. These two products are at opposite sides of the spectrum but both dominate their markets. Microsoft does not sacrifice value even as their operations continue to scale larger. A differentiation strategy needs to be maintained and updated as new technology arises.

This new wave of AI created an opportunity for them to produce a valuable AI tool that not many companies have the funds to make. They target a message of productivity, similar to Office 365, “AI can be helpful, supportive, and deeply personal. It’s built around your creativity, your productivity, your relationships” (Microsoft 2025). This aligns with their foundational messaging objective of providing customers with value. Staying innovative and adopting new technology is why Microsoft can compete with big companies like Google.

Recommendations

3 Potential Strategies

Leverage AI capabilities: Microsoft has an opportunity to catch the rising wave of AI with their generative AI copilot. They need to invest into expanding the features and capabilities offered to keep their audience from moving towards Google’s generative AI gemini. Microsoft should launch similar product offerings to ChatGPT. Microsoft currently owns 27% of ChatGPT (ChatGPT 2025) which gives them the largest shareholder power in the company. Eventually merging the two companies will expand Microsoft's consumer base and give them continued access to custom GPTS, AI agents, and projects.

Backward integration for AI chips: Right now Nvidia holds supplier power for AI chips. Microsoft should start creating in house AI chips to gain back this power. Google started creating their own chips back in 2015 (Barron’s 2025) and are projected to pass Nvidia in sales. Creating

chips internally would keep Microsoft competitive because they won't rely on Nvidia or Google to supply their technology. Microsoft might not be the top distributor for chips but investing into this product will further differentiate their company compared to others.

Grow cloud services: Microsoft currently dominates cloud industry services through their Office 365 applications used for businesses and education. They need to secure long-term contracts to maintain this lead against Google. Many people don't know how to use excel and other applications to their full potential so creating tutorials to push the brand will help them obtain more sustained customers. Using social media to illustrate quick lessons will attract GenZ and Millennials which will move the overwhelming narrative to simple helpful tools.

Leverage AI Capabilities Strategy

AI technology is where the future of business is moving towards. Microsoft was able to catch the adoption early and create Copilot but their generative AI is not enough. Everyday a new AI product release comes out and the algorithm continues to evolve. Microsoft needs to focus research and development efforts towards adapting this tool with the needs of consumers. This means identifying what everyday obstacles could be simplified by AI. Copilot should be accessible not only for businesses and schools but for everyone. Microsoft should release tutorials on how to structure a prompt to get the best output and create examples on everyday tasks like creating a recipe with the ingredients available in the kitchen. This helps take the scary perception of AI away and makes the tool into something exciting and innovative. Leveraging and building upon their tool will maintain their dominance in this new industry.

Strategic Implementation Plan

Microsoft should merge with ChatGPT to gain access to their tools and expand them into Copilot rather than having two separate generative AI's. Merging will establish Microsoft as the

leader in the Industry since the top three tools on the market are ChatGPT, Copilot, and Gemini. The reason customers pay for ChatGPT is to have access to features like custom GPTS, projects, and AI Agents. Microsoft can create similar membership tiers after the merger and promote small discounts if you sign up for annual plans. Microsoft should make their plans slightly cheaper than Gemini's to keep that competitive edge while still offering unique features.

Copilot should be functional with Office 365 so consumers can easily refer back to a spreadsheet and Copilot can analyze it. Allowing all the applications to be intertwined will save time for users and create a more productive working environment which is something all companies and students strive for. Merging with ChatGPT will give Microsoft projected success and maintain a competitive edge over Gemini.

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Appendix

Table 1: Net Profit Margin			
Year	Microsoft	Google	Apple
2021	36.45%	30.55%	25.88%
2022	36.69%	25.31%	25.30%
2023	34.15%	24.01%	25.31%
2024	35.96%	28.60%	23.97%
2025	36.15%	32.23%	26.92%

Table 2: Current Ratio			
Year	Microsoft	Google	Apple
2021	2.08	2.93	1.07
2022	1.78	2.38	0.88
2023	1.77	2.10	0.99
2024	1.27	1.84	0.87
2025	1.35	1.75	0.89

Table 1: Debt to Equity			
Year	Microsoft	Google	Apple
2021	0.5	0.07	2.16
2022	0.39	0.06	2.39
2023	0.31	0.05	1.99
2024	0.29	0.09	1.89

2025	0.26	0.09	1.34
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